KVFold: Expanding Cache Capacity for LLM Agents with Lossless Compression

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***Abstract*—LLM agents often reuse long prompt prefixes as they continue a task or resume a session. Caching the corresponding key/value (KV) states avoids repeated prefill, but cache capacity limits how many requests can run concurrently and how much history can be retained. KVFold uses lossless exponent coding to fit more KV into GPU memory and external storage. Pool mode stores FragPack records on the GPU, decoding them into BF16 for FlashAttention-3 during prefill and within a fused attention kernel during decode. Tier mode uses a separate record format in LMCache and leaves the GPU cache layout and attention implementation unchanged. In recorded AgentX runs with a fixed 54 GiB KV budget per GPU, pool mode increases usable capacity from 1.18M to 1.59M tokens. Visitors can extend and edit a coding-agent prompt to inspect prefix reuse and KV reconstruction, then explore recorded results showing how the additional capacity affects concurrent requests and returning sessions.**

I. Introduction

Consider a coding agent investigating a timeout. Its prompt includes repository context, a bug report, and the investigation history. When the user follows the diagnosis with a request for a regression test, most of the prompt remains unchanged. Prefix caching lets the engine reuse the keys and values already computed for this shared context, avoiding repeated prefill. vLLM stores KV in paged blocks [1], while LMCache retains reusable prefixes in DRAM and NVMe across requests [2].

For Qwen3-30B-A3B, each cached token requires 96 KiB of BF16 KV across all layers. With many concurrent sessions, requests may have to wait for free GPU blocks even when their prefixes are available in external storage. Moving inactive histories to external tiers relieves GPU memory pressure, but those tiers can also fill up. When a session resumes after its prefix has been evicted, the engine must recompute that prefix. Cache capacity thus limits both request concurrency and the amount of history available for reuse.

KVFold uses lossless compression to fit more KV into the available GPU memory and external storage. The codec preserves each BF16 value's low byte, assigns short codes to frequent high-byte values, and uses escapes for the remaining values. Unlike quantization methods such as KIVI [3] or lossy context codecs such as CacheGen [4], it reconstructs the original KV bits. The main *pool mode* stores completed GPU blocks as FragPack records. During prefill, KVFold gathers and decodes the context's KV into a BF16 workspace for FlashAttention-3 (FA3) [5]. During decode, it reconstructs operands within a fused attention kernel. An alternative *tier mode* stores compressed KV in LMCache while retaining the native GPU cache layout and attention implementation. Both modes share the coding principle and offline calibration, but use different record formats for attention and external storage.

The demonstration follows the agent as it continues a task, runs alongside other sessions, and resumes an earlier investigation. Interactive requests show prefix reuse, external restoration, and KV byte checks. Recorded AgentX workloads [6] illustrate the effect at scale: with a 54 GiB KV budget per GPU, pool mode holds 1.59M tokens compared with 1.18M for the uncompressed baseline. With admission capped at 12 requests, mean engine time to first token (TTFT) falls from 5.16 to 1.94 s, excluding time spent waiting at the proxy.

II. System Description

KVFold integrates with vLLM 0.30 and the multiprocess cache server in LMCache 0.5.6 (Figure 1). vLLM schedules requests and allocates 128-token blocks. LMCache handles external lookup, LRU eviction, write-through, and prefetch.

A. Compressing closed blocks in the GPU pool

New KV is written to a BF16 staging buffer as each block fills. At each layer, the backend writes the new values, computes attention, and encodes any blocks that are now complete. These records remain immutable in the layer's compressed pool. Incomplete blocks stay in staging so that later tokens can be appended.

A FragPack record stores either K or V for one block, layer, and KV head: 128 tokens with 128 dimensions each, or 32 KiB in BF16. Seven frequent high-byte values have direct three-bit codes. Other values use a four-bit escape selector to choose among 15 additional values or fall back to a raw high byte. K and V use separate tables, calibrated for each layer and KV head. Low bytes are stored unchanged. Dense streams store scalars in the order required by the attention kernel's threads (Figure 2).

A block's K and V records share a page within each layer. For four KV heads, a page occupies 190,464 B instead of 262,144 B, allowing the same GPU budget to hold 1.376 times as many pages before accounting for auxiliary backend buffers. Records that exceed the encoding limit or do not fit in a shared

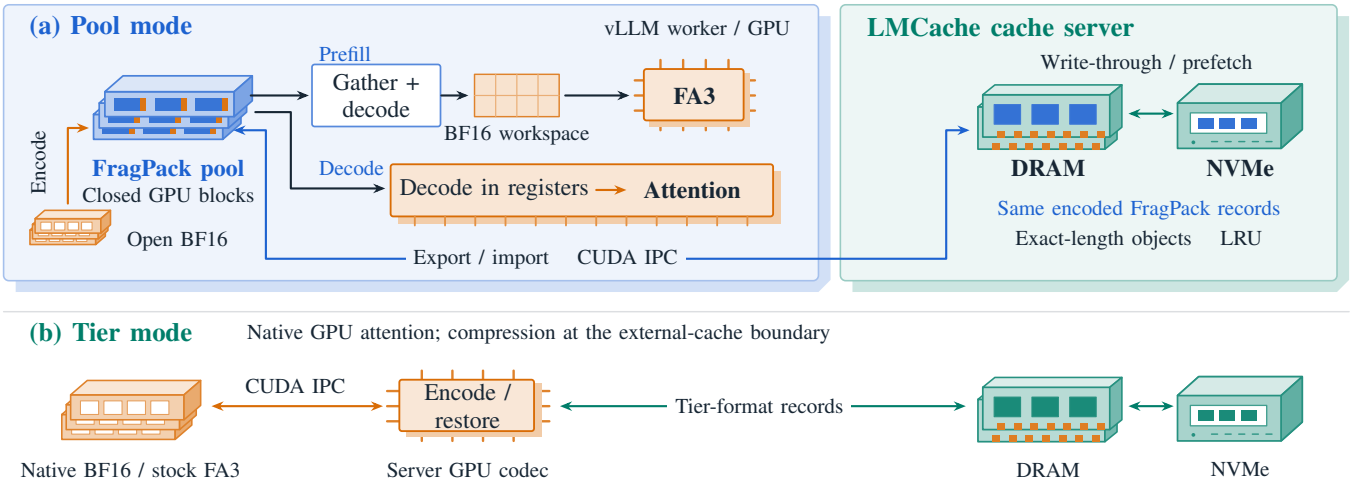


Fig. 1. KVFold's two integration paths. Pool mode stores FragPack records on the GPU and exports the same records to LMCache. Tier mode keeps the native GPU cache layout and encodes and restores KV in the cache server. In both modes, LMCache manages storage in DRAM and NVMe, including eviction, write-through, and prefetch. Complete blocks are encoded; open blocks retain BF16 values for updates and attention.

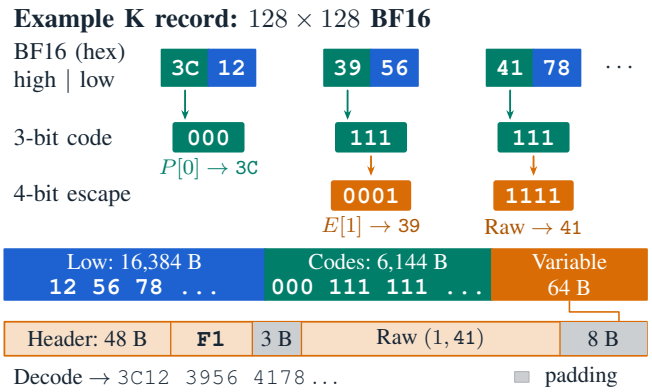


Fig. 2. Example of the FragPack record format using illustrative data (not to scale). The three scalars show direct lookup, an extended-table escape, and a raw escape. Each raw patch stores an escape's position in the escape sequence and its original high byte. The variable region uses 64 B in this example, within the format's 2,048 B limit. Recombining the high and low bytes recovers the original BF16 values exactly.

page are stored uncompressed in overflow slots.

B. Computing attention from compressed KV

Prefill with gather + FA3. When a request extends the context, the adapter gathers the context's KV into a BF16 workspace, decoding compressed records and copying values from open blocks. An unmodified FA3 kernel computes attention from this workspace, which holds the current layer's KV. Completed blocks remain compressed in each layer's pool.

Decode with fused attention. For each generated token, a kernel divides the request's context into page ranges, prefetches encoded records into shared memory, and reconstructs operands in registers for tensor-core attention. A final kernel combines partial softmax states across the ranges. This path avoids writing the decoded context to GPU global memory and supports decode-only CUDA graph replay. A vLLM plugin loads the backend without source changes.

Both paths reconstruct the original KV bits exactly. The console separates KV byte checks from generated text because fused attention can change FA3's reduction order.

C. Storing KV in LMCache

Pool mode exports completed attention records from all layers into a relocatable blob containing dimensions, table identity, and lengths. LMCache stores each 128-token block at its actual length in DRAM and NVMe. On import, records return to GPU pages and their record tables are updated; failed validation triggers recomputation. The cache server accesses worker pools through CUDA IPC to run export and import kernels on the corresponding GPU, with one synchronization per load request.

Tier mode preserves the native GPU cache layout and attention implementation while compressing external KV. Each chunk contains one block's KV across all layers. Its per-layer, per-head K/V tables share the pool's calibration but use only 14 symbols, seven primary and seven secondary, compared with FragPack's 22. Values follow token order. A three-bit primary code can escape to a second three-bit code and, if needed, a literal high byte. Low bytes remain unchanged. FragPack instead uses fragment order and four-bit escape selectors. Grouped indices locate escape streams across groups of eight 256-scalar tiles. Codebooks are fixed at startup and identified by a table digest. Chunks exceeding the raw storage limit remain uncompressed.

Each tensor-parallel (TP) rank stores exact-length objects, aligned to 4 KiB for NVMe direct I/O. After the producing step completes, the server encodes full chunks from native pages into a bounded GPU pool. A background worker copies and commits the records to DRAM. Loads decode compressed records into destination pages; raw records and partially shared leading chunks pass through scratch before scattering. CUDA events order copies, decoding, and page reuse without host waits on the load path. LMCache uses stored lengths for

NVMe prefetch, allowing the same budget to retain more history.

III. Demonstration

Visitors follow the timeout investigation through prefix reuse, GPU pressure, and returning sessions (Figure 3). The console distinguishes live and recorded data and lists the model, TP degree, KV type, mode, and budgets. Modes and codebooks are fixed at startup; selectors choose saved records.

Setup. The interactive session uses Qwen3-4B-Instruct-2507 with BF16 weights and KV, TP 1, and one H800 PCIe GPU. It uses eager execution in pool mode, with 128-token blocks, a 4 GiB GPU KV budget, and 1 GiB of LMCache DRAM.

The recorded capacity experiments used Qwen3-30B-A3B-Instruct with FP8 weights and BF16 KV, TP 2, and two H800 SXM GPUs connected over PCIe. vLLM used 128-token blocks and 8,192-token chunked prefill. AgentX harness 1.0.7 replayed `cc_traces_weka_062126_256k` with seed 42 and recorded think times. P counts live root sessions; a FIFO proxy admits at most S concurrent requests. Measurements covered 1,800 seconds after priming and ten warmup requests, excluding requests without a first token by the window's end. *Engine TTFT* excludes proxy wait. *Goodput* counts requests/minute with engine TTFT at most 2 s and inter-token latency (ITL) at most 40 ms.

These measurements and output checks predate the shared calibration and grouped index described in Section II. The recorded tier runs used per-plane codebooks and the earlier tile index.

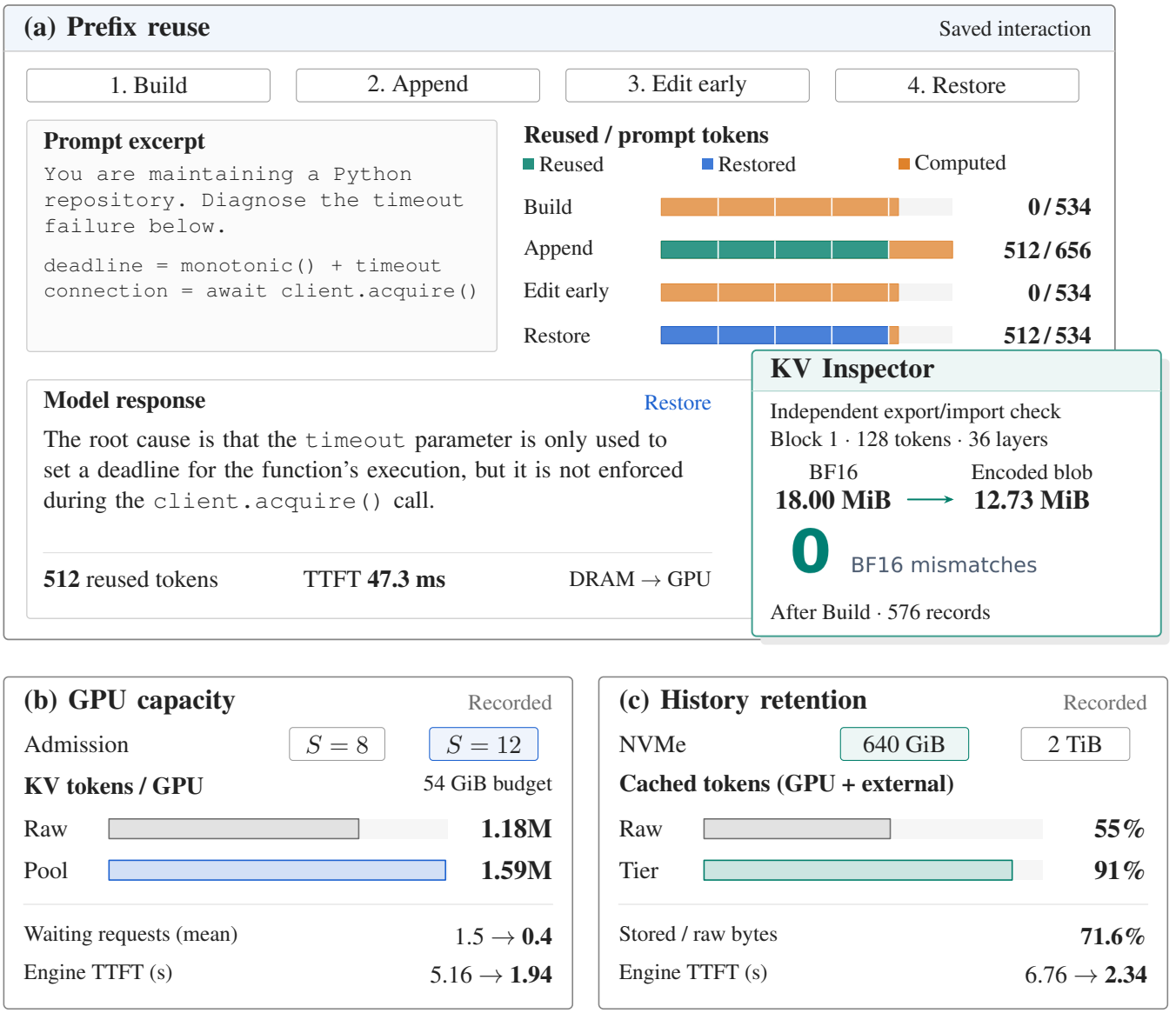


Fig. 3. Console views recomposed for display. (a) Saved November 8 Qwen3-4B interaction with prefix strips on the same token scale. The enlarged, repositioned inspector includes a native screenshot detail; its model-block export/import check is independent of Restore. (b) GPU capacity and (c) history retention: selectors choose archived Qwen3-30B AgentX configurations. Cached-token share includes GPU and external cache hits.

TABLE I
GPU CAPACITY AND PERFORMANCE IN THE RECORDED RUNS: 54 GIB KV PER GPU, $P = 64$, 400 GIB DRAM, AND 2 TIB NVME. WAIT DENOTES THE MEAN NUMBER OF REQUESTS WAITING IN VLLM; TTFT IS MEAN ENGINE TTFT IN SECONDS.

S	Mode	KV tokens	Wait	TTFT	Goodput
8	Raw	1.18M	0.3	1.69	15.1
8	Pool	1.59M	0.2	1.34	16.2
12	Raw	1.18M	1.5	5.16	10.6
12	Pool	1.59M	0.4	1.94	14.9

TABLE II
EXTERNAL CACHE CAPACITY AND PERFORMANCE IN THE RECORDED RUNS: $P = 64$, $S = 8$, AND 400 GIB DRAM. CACHED DENOTES THE SHARE OF PROMPT TOKENS SERVED FROM THE GPU OR EXTERNAL CACHE; TTFT IS MEAN ENGINE TTFT IN SECONDS.

NVMe	Mode	Cached	TTFT	Goodput
640 GiB	Raw	0.55	6.76	4.6
640 GiB	Tier	0.91	2.34	13.5
2 TiB	Raw	0.94	1.69	15.1
2 TiB	Tier	0.94	1.85	15.4

A. Step 1: extend a task and inspect prefix reuse

Visitors use *Build* to submit repository context, a bug report, and "Diagnose the timeout failure." They then *Append* "Write a regression test." A prefix strip shows reused and new tokens alongside cached-token counts, TTFT, and the continuation. *Edit early* limits reuse to complete 128-token blocks before the changed token.

Restore waits for external saves, resets the GPU prefix cache, and replays the original prompt. The saved session restored 512 tokens from LMCache DRAM.

The inspector compares decoded KV from an already encoded block before and after export through host memory and import into an independent GPU scratch store, showing sizes, checksums, and mismatch counts. All layers of the captured 128-token block matched byte for byte. Separate CPU samples exercise escapes and raw fallback.

A historical check found identical greedy outputs for 192 repeat-trace requests in tier and raw-tier modes with matching execution paths.

B. Step 2: explore GPU capacity limits

Visitors switch between $S = 8$ and $S = 12$ to compare raw and pool modes under equal GPU KV budgets (Table I). The external tiers retain the working set, with cached-token share fixed at 0.94. These runs examine GPU pressure when prefixes are already cached.

Pool mode reserves 1.3 GiB within the KV budget for staging, overflow, and the prefill workspace. Cache-server CUDA contexts and transfer buffers are accounted for separately; codec buffers occupy 1.0 GiB per GPU outside vLLM's budget.

At $S = 12$, pool mode keeps TTFT close to the raw baseline at $S = 8$, while reducing waiting requests and increasing goodput at the same admission cap.

C. Step 3: revisit sessions under storage pressure

Visitors switch between 640 GiB and 2 TiB NVMe to compare retained history, stored bytes, TTFT, and goodput (Table II). Raw and tier modes use the same native GPU KV layout, FA3, and LMCache LRU, write-through, and prefetch policies; the allocated record sizes differ.

At 640 GiB NVMe, tier mode's compressed-to-raw size ratio of 0.716 allows about 1.4 times as much KV to fit (Table II). At 2 TiB, the raw working set fits and cached-token shares converge. Tier input throughput is then 26.9 thousand tokens/s versus 27.5 for raw storage, a 2.2% reduction.

A separate replay of 48 prompts, with one request in flight, compares DRAM and NVMe hits. Their KV occupies 261 GiB raw and 188 GiB compressed. At 220 GiB DRAM, compressed KV fits in memory, while some raw prefixes require NVMe reads. For 8K–128K prompts, raw storage has 1.63–1.68 times the mean warm TTFT of tier mode. At 400 GiB DRAM both fit and the gap narrows. The console displays these recorded residency and latency comparisons.

IV. CONCLUSION

KVFold fits more KV into GPU memory and external cache tiers. Visitors inspect prefix reuse, restore KV from LMCache, and check a model block before and after transfer. Recorded comparisons show how the additional capacity affects request queues and history reuse under fixed budgets.

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